



FIRST SEMESTER 2026-2027

Course Handout (Part II)

Date: 01/08/2026

In addition, to part I (General Handout for all courses appended to the timetable), this portion gives specific details regarding the course.

Course No. : ECON F311
Course Title : INTERNATIONAL ECONOMICS
Instructor-in-charge : Prof. GEETILAXMI MOHAPATRA
Tutorial Instructor : Prof. Geetilaxmi Mohapatra

1. Course Description

This course develops a systematic exposition of both classical and modern theories of international trade in goods and services that try to explain the composition, direction, and consequences of international trade, and the determinants and effects of trade policy. The course will look critically at the welfare and profit implications of trade policy deviations from free trade. It then builds on the models of open economy macroeconomics.

2. Scope and objective of the course:

- To understand the effects of international trade on individuals and businesses
- To understand the effects of changes in trade policies on trade
- To apply macroeconomic models to understand the international economy.
- To focus on the interrelationships among aggregate economic variables such as GDP, unemployment rates, inflation rates, trade balances, exchange rates, interest rates, etc.
- To focus on the significance of trade imbalances, the determinants of exchange rates, and the aggregate effects of government monetary and fiscal policies.

3. Text Book:

- Salvatore, D., *International Economics*, 11th Wiley Student Edition, 2012.

4. Reference Books:

- **R1.** Feenstra Robert, and Taylor Alan M. *International Economics*, Worth Publishers Inc., US., 5th Edition, 2021
- **R2.** Krugman, P.R. and Obstfeld, M. *International Economics: Theory & Policy*, Pearson, 8th Ed. 2008.
- **R3:** Mannur, H.G., *International Economics*, Vikas Publishing House Pvt. Ltd., 2nd Edition, 1999.

5. Course Plan:

Module No:	Lecture Session	Reference (TB)	Learning Outcome
Introduction	L1.1: Introduction to International Economics	Ch.1	Knowledge of various concepts prevailing in international economics
The Law of Comparative Advantage	L2.1: Early Trade Theories – Mercantilism and the trade based on Absolute advantage L2.2: The Law of Comparative Advantage:	Ch.2	Understanding of the concepts of constant opportunity cost in trade, basis of trade and gains



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	Gains from trade and comparative advantage with money L2.3: Comparative advantage with labour theory of value, the basis and gains from trade under constant costs		from trade
The Standard Theory of International Trade	L3.1: Equilibrium with increasing costs L3.2: Basis for and the gains from trade with increasing costs L3.3: Edgeworth Box Diagram & the Production possibility Frontier	Ch.3 and Notes	Understanding of the basis for and gains from trade with increasing costs. Introducing an advanced tool used in international trade
Demand and Supply, Offer Curves, and the Terms of Trade	L4.1: Demand and Supply, Offer Curves and the terms of Trade	Ch.4	Understanding of the basis for trade and gains from trade when demand and supply are taken into account
Factors Endowments and the Heckscher – Ohlin Theory	L5.1: Define factor abundance and L5.2: its impact on production possibility frontier, L5.3: Limitation of H.O. theory (Leontief Paradox) L5.4: Other limitations of H.O. theory L5.5: Factor-Price Equalization theorem	Ch.5 and Notes	Understanding of H.O. theorem: cause for the differences in relative commodity prices, factor price equalization theorem: and the effect of trade on the earnings of factors of production, Limitations
Economies of Scale, Imperfect Competition, and International Trade	L6.1: Concept of economics of scale in trade, Technological differences L6.2: Trade based on product differentiation, intra-industry trade L6.3: Trade based on differences in cost of transportation	Ch.6	Clear understanding of the contemporary theories of international trade
Economic Growth and International Trade	L7.1: Impact of growth of factors of production on trade L7.2: The impact of technical progress on trade in case of small nation L7.3: Effect of Technical progress L7.4: Growth and trade for large nation L7.5: Growth, changes in tastes, and trade for two nations	Ch.7 and notes	An overview of the impact of labor and capital growth on trade, Income distribution and International Trade for small and large country
Trade restrictions: Tariff	L8.1: The theory of tariff structure: Costs and benefits of a tariff on the consumer and producer L8.2: Rate of effective protection: Tariff being imposed on intermediate goods L8.3: Stolper - Samuelson theorem: General equilibrium analysis of a tariff for a small country L8.4: General equilibrium analysis of a tariff when the nation is large	Ch.8 and Notes	Understanding of the Impact on internal trade due to barriers in the form of commercial policies e.g., taxes being imposed on final goods and services, or intermediate goods
Non-tariff Trade	L9.1: Import quota: Partial equilibrium	Ch.9	Awareness on impact of other





Barriers and the New Protectionism	analysis of import quota. L9.2: Distinction between Import quota and import tariff L9.3: International Cartels, dumping and export subsidies		forms of trade barriers (quota, cartels, dumping) and protectionism in the form of export subsidies
Economic Integration: Customs Unions and Free Trade Areas	L10.1: Different forms of economic integration and the partial equilibrium analysis of trade creating and trade diverting custom unions	Ch.10 + Class notes	Understanding of the various forms of economic integration with specific reference for their impact, Awareness on the current issues of international trade
International Resource Movements and Multinational Corporations	L12.1: FDI, forms of FDI, Motives of FDI L12.2: International Joint Ventures and welfare effects of international labor movements	Ch.12 and Notes	Awareness on the motives of foreign direct investment and reasons for the existence of MNCs, Joint ventures and international labor movements
Balance of Payments	L13.1: Balance of Payments and meaning of disequilibrium in balance of payments	Class Notes	Understanding of the concepts of accounts to international transactions
The Price Adjustment Mechanism with Flexible and Fixed Exchange Rate	L16.1: Adjustments in Balance of Payments due to Flexible Exchange Rates L16.2: Derivation of Demand Curve and Supply Curve for Foreign Exchange L16.3: Effect of Exchange Rate Changes on Domestic Prices and terms of trade	Ch.16	Understanding of how a nation's current account is affected by only price changes under flexible and fixed exchange rate systems
Income Adjustment and Synthesis of automatic adjustment mechanism	L17.1: Income determination in a small closed and open economy L17.2: Foreign trade multiplier and adjustment in BoP due to income change L17.3: Foreign Repercussion and absorption approach	Ch.17	Understanding of dynamics of open economy macroeconomics with how a nation's current account is affected by only income changes
Open Economy Macroeconomics: Adjustment Policies	L18.1: Swan Diagram, Policies for attaining internal balance and external balance L18.2: Policies for attaining equilibrium in the Goods market, Money Market and in the BoP	Ch.18	Knowledge of the impact of various economic policies on open economy macroeconomics: Mundell - Fleming Model

6. Evaluation Scheme

Component	Weightage (%)	Date and Time	Duration	Nature of component
Class Participation	5	Every class		
Mid - semester Test	25	08/10 FN1	90 Min	Closed Book
Announced Quizzes (2 out of 3)	20	To Be Announced		Closed Book
Assignment and Presentation	10	To Be Announced		
Comprehensive Examination	40	01/12 FN	3 Hrs	Partially Open Book





BIRLA INSTITUTE OF TECHNOLOGY AND SCIENCE, Pilani
Pilani Campus
Instruction Division

7. Chamber Consultation Hours: Wednesday (4.00-4.30 PM)

8. Notices: Notice concerning this course will be through Mail/LMS Nalanda

9. Make-up Policy: Make-up exam for Mid Semester Test and Comprehensive Examination may be given only on genuine grounds (**only in case of hospitalization with proof**); prior permission of I/C is required to get a makeup test. No makeup exams for quizzes.

10. Note (if any): The passing marks for this course will be determined based on **one of the two criteria:** 30% of the median of the post-comprehensive examination score or 20% of the top scorer.

Instructor-in-charge
ECON F311



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